

Another classification is called sector funds. These schemes allow you to invest in stocks of a particular sector – technology, banking, pharma, FMCG and retail. Then there are thematic funds that track a bunch of sectors. For instance, the infrastructure theme will include sectors such as construction, telecom, power and so on. So a sector fund is a narrower cut of the market; a thematic fund a broader cut.

You ask me which has more risk. Right, the sector funds are riskier. Each of these categories can have an active fund or a passive fund. What is a diversified equity fund? This is one term you would have heard if you ever read personal finance pages of a newspaper or switched on a business channel. Exactly as the term says – this is a fund that is diversified across mainly large-cap stocks. These funds aim to give returns that are just a bit higher than the index.

Another classification you will hear is open-ended and closed-end funds. Think of an open-ended fund like a very long unending escalator and a closed-end fund like a lift. You can get on and off the escalator any time you want, but once you get in the lift you can only get off on the floor whose button you pressed.

An open-ended fund is open for investors buying and selling it forever. A closed-end fund comes to the market with a fixed time frame. Closed-end equity funds come with a three- or five-year investing horizon. I like open-ended funds that have been in the market for at least five years. I like to see the report card of the past to see if I can trust the fund manager and the fund house with my money.

I know this is a lot of work, but once you get familiar with the terms it will become easier. You are preparing for a lifetime of investment and not just a one-time hit and run number. When I joined Iyengar Yoga a couple of years ago to fix a really bad lower back and a general loss of mobility, the first few months were spent in terror. I simply could not remember the names and postures of all the asanas the yoga teacher was throwing at us.

But I was in this for the long haul. I knew that yoga is my road to recovery, so I persisted, and slowly, as I engaged more and more with it, it got easier. The names of the asanas now roll off my tongue just as easily as finance jargon! So